

Enhanced Due Diligence — Merchant KYB Remediation Report

Prepared by: AML/BSA Compliance — KYB Enhanced Due Diligence Review

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Scope: Merchants M3004, M3025, M3020, M3070 — flagged for missing/incomplete MSB registration, UBO data anomalies, and high-risk MCC exposure.

Source data: AMLFT_Analyst_JIM (1).xlsx — sheets Merchants_KYB, Transactions. Extraction performed via extract_merchant_edd_data.py (attached).

Scope Note

This report's originating brief (Task 2.b) scoped a KYB review of M3004 (CryptoBuy24) and M3025 (RemitFast). During extraction, the same MCC-based screening surfaced two additional merchants with materially worse KYB deficiencies — M3020 and M3070, both MCC 6011 (non-bank ATM operators) with no valid MSB registration on file. M3070 additionally presented apparent minor beneficial owners and an ownership disclosure summing to over 100%. Given the severity and time-sensitivity of these findings (both carry an immediate-suspension basis, and M3070 a SAR basis), they are included in this same report rather than held for a separate deliverable, so they reach the escalation chain without delay. This is a deliberate scope expansion driven by systemic-risk materiality, not scope creep from the original brief; the four-merchant analysis below is presented as one KYB remediation package for that reason.

1. Executive Summary

Four high-risk-rated merchants were reviewed for KYB completeness, beneficial ownership (UBO) integrity, MSB registration status, and — where applicable — Travel Rule compliance. The review found:

- M3004 (CryptoBuy24, MCC 6051): MSB registration is present and valid on file. Findings are limited to a KYB-refresh timestamp anomaly and incomplete ownership disclosure (36.28% unaccounted). No SAR basis identified at this time.
- M3025 (RemitFast, MCC 4829): MSB registration is present. As the merchant acquirer in this arrangement, CloudWalk does not itself execute remittances or hold the Travel Rule originator/beneficiary data-retention obligation — that obligation runs to RemitFast as the money-transmitting MSB. The finding here is a KYB/contractual-oversight gap: CloudWalk has not yet obtained a merchant attestation confirming RemitFast's own Travel Rule (31 CFR 1010.410) compliance program for transfers ≥ \$3,000. No observed transactions currently reach that threshold, but the attestation and audit control must be put in place before volume grows. No SAR basis identified at this time.

- M3020 (ATM Express #320, UAE-incorporated, MCC 6011): MSB registration is missing. Combined with foreign incorporation and non-bank ATM operation, this presents potential BSA / unlicensed money transmission exposure. Recommend immediate processing hold.
- M3070 (ATM Express #370, Brazil-incorporated, MCC 6011): MSB registration is missing, AND two of three disclosed UBOs were minors (age 17) at onboarding per their disclosed dates of birth, AND disclosed ownership percentages sum to 102.81% (a mathematical impossibility), AND one UBO (Russia, 46.15%) approaches the 50% OFAC control threshold. This combination of findings — unregistered MSB activity plus apparent identity/UBO data fraud — supports both an immediate processing suspension and a SAR filing.

2. Merchant-Level Analysis

2.1 M3004 — CryptoBuy24 #304

Legal name	CryptoBuy24 #304 LLC
Primary MCC	6051 — Quasi Cash / Crypto / FX / MO
Incorporation country	US
Registration number	REG-8800396
MSB registration number	MSB-162802 (present)
Risk rating / high-risk MCC flag	High / True
Onboarding date	2025-11-16
Last KYB refresh	2025-09-13 — precedes onboarding date (data integrity issue)
OFAC match score (merchant-level)	0.03 (below 0.3 investigation threshold)
PEP/UBO flag	False
Expected monthly volume / avg ticket	\$25,809 / \$24.21
Observed transactions (326 txns)	Total \$72,827.99; max single ticket \$1,075.20; none ≥ \$3,000

Beneficial owners

Name	Country	DOB	Ownership %	PEP	Sanctions Score	Flags
Hayden Smith	TR	1980-08-02	34.24%	No	0.05	≥25% CDD
Casey Garcia	GB	1970-12-25	29.48%	No	0.13	≥25% CDD

Findings & Assessment

- Both disclosed UBOs individually exceed the 25% CDD Rule threshold and are identified with DOB, country, and sanctions score — this requirement is satisfied.

- 36.28% of ownership is undisclosed. Not itself a violation if remaining holders are each below 25%, but must be confirmed and documented; a control-prong individual (e.g., managing member) should also be on file per CDD Rule regardless of ownership percentage.
- No Iran or Russia nexus; no PEP; individual and aggregate OFAC scores are low (≤ 0.13) and below the 0.3 independent-investigation threshold.
- Data integrity issue: last_kyb_refresh predates onboarding_date by roughly two months, which is logically impossible and indicates either a data-entry error or a system default value — requires correction.
- MSB-162802 should be confirmed active via FinCEN's MSB Registrant Search as part of the standard refresh cycle.

SAR / suspension basis: None identified for M3004 at this time. Standard EDD monitoring and the remediation items below are sufficient.

2.2 M3025 — RemitFast #325

Legal name	RemitFast #325 LLC
Primary MCC	4829 — Money Transfer
Incorporation country	US
Registration number	REG-9368856
MSB registration number	MSB-356341 (present)
Risk rating / high-risk MCC flag	High / True
Onboarding date	2025-07-07
Last KYB refresh	2025-10-16 (consistent — postdates onboarding)
OFAC match score (merchant-level)	0.13 (below 0.3 investigation threshold)
PEP/UBO flag	False
Expected monthly volume / avg ticket	\$4,351 / \$20.36
Observed transactions (352 txns)	Total \$88,667.84; max single ticket \$1,076.83; none $\geq$ \$3,000

Beneficial owners

Name	Country	DOB	Ownership %	PEP	Sanctions Score	Flags
Chris Wilson	AE	2001-11-18	32.17%	No	0.03	$\geq 25\%$ CDD

Findings & Assessment

- Only one UBO (32.17%, UAE) is disclosed; 67.83% of ownership is unaccounted for. Must confirm no other natural person holds $\geq 25\%$, and document a control-prong individual.

- CloudWalk acts as merchant acquirer / credenciadora in this arrangement: it authorizes and settles card-funded transfers on RemitFast's behalf but does not itself execute the remittance or hold a direct relationship with the transfer's ultimate beneficiary. Under 31 CFR 1010.410(f), the Travel Rule originator/beneficiary data-collection and transmittal obligation for transfers $\geq$ \$3,000 belongs to RemitFast as the money-transmitting MSB — CloudWalk's transactional ledger reflects only the funding leg (the card charge), not the downstream remittance. The finding here is therefore a KYB/contractual-oversight gap, not a data-capture gap in CloudWalk's own transaction schema: CloudWalk has not yet obtained and verified a merchant attestation confirming RemitFast operates a compliant Travel Rule program on its own systems.
- No individual transaction in the observed data reaches the \$3,000 threshold (max \$1,076.83), so the requirement has not yet been operationally triggered for RemitFast, but the attestation and periodic-audit control must exist before volume or ticket size grows, and cannot be deferred indefinitely for a merchant whose entire business model is money transmission.
- UAE incorporation nexus for the sole disclosed UBO and OFAC score of 0.13 do not independently warrant escalation but should be included in the next periodic review.

SAR / suspension basis: None identified for M3025 at this time. The missing Travel Rule attestation is a KYB/contractual-oversight deficiency requiring prompt remediation (High priority) but does not, on its own, support a SAR filing absent evidence of an actual unreported qualifying transfer.

2.3 M3020 — ATM Express #320

Legal name	ATM Express #320 Ltd
Primary MCC	6011 — ATM, Financial Institutions
Incorporation country	AE (United Arab Emirates)
Registration number	REG-1262530
MSB registration number	MISSING (NULL)
Risk rating / high-risk MCC flag	High / True
Onboarding date	2025-10-12
Last KYB refresh	2025-09-22 — precedes onboarding date (data integrity issue)
OFAC match score (merchant-level)	0.01
PEP/UBO flag	False
Expected monthly volume / avg ticket	\$13,916 / \$28.44
Observed transactions (313 txns)	Total \$67,061.02; max single ticket \$1,388.70; none $\geq$ \$3,000

Beneficial owners

Name	Country	DOB	Ownership %	PEP	Sanctions Score	Flags
Parker Jackson	AE	1993-06-30	42.23%	No	0.08	≥25% CDD

Findings & Assessment

- msb_registration_number is NULL. Per 31 CFR 1022.380 and the merchant's own MCC classification (6011, non-bank ATM operator), MSB registration is required. Confirmed missing as flagged in the dataset audit.
- Foreign incorporation (UAE) combined with unregistered MSB status raises the risk that this entity is operating as an unregistered/unlicensed money transmitter in the U.S. — a potential BSA violation.
- Only 42.23% of ownership is disclosed (57.77% unaccounted), which is a materially higher gap than typical for a single-UBO structure and should be resolved before any processing hold is lifted.
- last_kyb_refresh predates onboarding_date by roughly three weeks — data integrity issue requiring correction.
- OFAC score (0.01) and UBO profile do not independently indicate sanctions risk, but the missing registration is a standalone, sufficient basis for immediate action.

SAR / suspension basis: Recommend immediate suspension of new/incremental transaction processing pending documented proof of FinCEN MSB registration (or equivalent state licensing). If the merchant cannot produce valid registration within the cure period, or if evidence emerges of knowing/willful unregistered operation, escalate to SAR filing for unlicensed money transmission.

2.4 M3070 — ATM Express #370

Legal name	ATM Express #370 Ltd
Primary MCC	6011 — ATM, Financial Institutions
Incorporation country	BR (Brazil)
Registration number	REG-9718155
MSB registration number	MISSING (NULL)
Risk rating / high-risk MCC flag	High / True
Onboarding date	2025-10-19
Last KYB refresh	2025-09-01 — precedes onboarding date (data integrity issue)
OFAC match score (merchant-level)	0.25 (elevated — near the 0.3 investigation threshold)
PEP/UBO flag	False
Expected monthly volume / avg ticket	\$15,856 / \$14.29

Legal name	ATM Express #370 Ltd
Observed transactions (333 txns)	Total \$66,079.67; max single ticket \$1,189.33; none ≥ \$3,000

Beneficial owners

Name	Country	DOB	Ownership %	PEP	Sanctions Score	Flags
Chris Anderson	RU	2007-10-22	46.15%	No	0.02	≥25% CDD; Russia-nexus; MINOR AT ONBOARDING
Jamie Miller	CA	2007-10-28	27.76%	No	0.2	≥25% CDD; MINOR AT ONBOARDING
Jamie Brown	GB	1978-11-04	28.9%	No	0.28	≥25% CDD

Findings & Assessment

- msb_registration_number is NULL — same unregistered-MSB deficiency as M3020, compounded here by additional serious red flags below.
- CRITICAL IDENTITY FINDING: Based on disclosed dates of birth, Chris Anderson was 17 years old (3 days short of turning 18) and Jamie Miller was 17 years old (9 days short of turning 18) at the onboarding date. A minor cannot legally hold beneficial ownership of a financial-services entity or execute a UBO attestation. This indicates either fabricated/synthetic identity data or a serious KYC documentation failure, and is a strong independent red flag for identity fraud.
- Disclosed ownership percentages sum to 102.81%, exceeding 100% — an arithmetic impossibility that further undermines confidence in the accuracy of the ownership disclosure and supports the identity-fraud concern above rather than a simple rounding error.
- UBO Chris Anderson (Russia) holds 46.15%, approaching — though not meeting — the 50% threshold under the OFAC 50% Rule. Given ongoing OFAC sectoral sanctions exposure related to Russia, this ownership stake and the merchant's elevated aggregate OFAC match score (0.25, near the 0.3 review threshold) warrant independent sanctions re-screening rather than reliance on the on-file score.

- last_kyb_refresh predates onboarding_date by roughly seven weeks — data integrity issue requiring correction, and itself suggestive of a KYB process that was not properly performed at onboarding.

SAR / suspension basis: Recommend IMMEDIATE suspension of all transaction processing for M3070, effective upon completion of this review. The combination of (a) unregistered MSB / non-bank ATM operation, (b) apparent minor beneficial owners inconsistent with legal capacity to hold ownership, and (c) an ownership disclosure that is mathematically impossible together constitute reasonable grounds to suspect that the KYB record was falsified. This meets the threshold for a SAR filing documenting suspected identity fraud / structuring of beneficial ownership disclosure, in addition to the unregistered-MSB BSA exposure. The Russia-nexus ownership stake should be escalated to Sanctions for independent re-screening in parallel.

3. Travel Rule Compliance (MCC 4829 — M3025)

31 CFR 1010.410(f) requires money transmitters to collect and, where applicable, transmit originator and beneficiary information for transfers of \$3,000 or more. That obligation attaches to RemitFast as the money-transmitting MSB, not to CloudWalk as the merchant acquirer: CloudWalk's role in this arrangement is limited to authorizing and settling the card-funded leg of the transfer, and its systems do not — and are not required to — capture originator/beneficiary identity, address, or account data on RemitFast's behalf. Review of CloudWalk's own KYB file for M3025 found no on-file merchant attestation or periodic audit evidence confirming that RemitFast operates a compliant Travel Rule program for its own transfers. While no individual transaction in the reviewed data reached the \$3,000 threshold (max observed: \$1,076.83), the absence of that attestation/audit control is a KYB program gap that must be closed proactively — CloudWalk should require RemitFast to attest to its Travel Rule compliance program at each KYB renewal and reserve the right to audit supporting records, rather than build its own capture of beneficiary data it has no operational or legal basis to hold.

4. OFAC / Sanctions Summary

- No UBO with Iranian nexus was identified across the four merchants; the OFAC 50% Rule for Iran was not triggered for any merchant.
- One Russia-nexus UBO was identified (M3070, Chris Anderson, 46.15%) — below the 50% blocking threshold but material enough to warrant independent re-screening given Russia sanctions programs.
- No individual UBO sanctions_match_score across any merchant exceeded the 0.3 independent-investigation threshold, though M3070's aggregate merchant-level score (0.25) and one UBO score (0.28, Jamie Brown) sit close enough to warrant heightened monitoring.
- No PEP flags were identified for any UBO across the four merchants.

5. Consolidated Remediation Checklist

Items are ordered by merchant and prioritized Critical / High / Medium. Deadlines are measured from the date of this report.

#	Merchant	Finding	Remediation Action	Owner	Deadline	Priority
1	M3004	last_kyb_refresh (2025-09-13) predates onboarding_date (2025-11-16)	Correct KYB system-of-record timestamp; re-run refresh dated after onboarding; root-cause the data pipeline error	KYB Onboarding Team	10 business days	Medium
2	M3004	36.28% of ownership undisclosed (only 2 of possible multiple owners captured)	Obtain updated ownership /cap table confirming no additional natural person holds ≥25%, and identify one control-prong individual per CDD Rule	KYB Onboarding Team	15 business days	Medium
3	M3004	MCC 6051 crypto/quasi-cash activity — standard periodic EDD	Schedule EDD refresh at 6-month cadence given high-risk MCC;	AML Compliance Officer	30 days	Medium

#	Merchant	Finding	Remediation Action	Owner	Deadline	Priority
		refresh cadence applies	confirm MSB-162802 remains active/valid with FinCEN MSB Registrant Search			
4	M3025	Only 32.17% of ownership disclosed (67.83% undisclosed)	Obtain complete ownership schedule; confirm no undisclosed owner meets/exceeds 25%; document control-prong individual	KYB Onboarding Team	15 business days	Medium
5	M3025	No merchant attestation or audit evidence on file confirming RemitFast operates a compliant Travel Rule (31 CFR 1010.410) program for its own originator/beneficiary data capture on transfers ≥	Obtain a signed merchant attestation of Travel Rule compliance from RemitFast; add a Travel Rule attestation /audit checkpoint to the KYB renewal cycle for all MCC 4829 merchants;	Compliance + KYB Onboarding Team	30 days	High

#	Merchant	Finding	Remediation Action	Owner	Deadline	Priority
		\$3,000	reserve contractual right to audit supporting records			
6	M3025	No individual transactions currently $\geq$ \$3,000 (max observed \$1,076.83) — threshold not yet triggered for RemitFast but attestation /audit control gap exists	Add automated alert for any transaction approaching/exceeding \$3,000 to trigger a targeted re-confirmation of RemitFast's Travel Rule attestation	Transaction Monitoring Team	20 business days	Medium
7	M3020	msb_registration_number is NULL — foreign-incorporated (UAE) non-bank ATM operator without FinCEN MSB registration	Suspend new transaction processing/onboarding volume increases pending proof of valid FinCEN MSB registration or state licensing; request registration	AML Compliance Officer / MLRO	5 business days (immediate hold); 30 days to cure	Critical

#	Merchant	Finding	Remediation Action	Owner	Deadline	Priority
			n documenta tion from merchant within remediatio n window			
8	M3020	last_kyb_re fresh (2025-09- 22) predates onboardin g_date (2025-10- 12)	Correct KYB record timestamp s; re-run refresh dated after onboardin g	KYB Onboardin g Team	10 business days	Medium
9	M3020	Only 42.23% of ownership disclosed (57.77% undisclose d) for a foreign- incorporat ed MSB- type merchant	Obtain full beneficial ownership schedule and control- prong individual before lifting processing hold	KYB Onboardin g Team	15 business days	High
10	M3020	Potential unlicensed money transmissi on / BSA violation exposure while unregister ed	Legal/ Complianc e to assess BSA exposure and determine if voluntary self- disclosure or SAR filing is warranted if	MLRO / Legal	30 days	Critical

#	Merchant	Finding	Remediation Action	Owner	Deadline	Priority
11	M3070	msb_registration_number is NULL — foreign-incorporated (Brazil) non-bank ATM operator without FinCEN MSB registration	merchant cannot evidence registration Immediately suspend transaction processing pending proof of valid FinCEN MSB registration	AML Compliance Officer / MLRO	Immediate (within 24-48 hours)	Critical
12	M3070	Two of three disclosed UBOs (Chris Anderson, Jamie Miller) were minors (age 17) at onboarding per disclosed DOB	Freeze account; re-verify identity documents for all UBOs via independent source documentation; escalate as potential synthetic-identity / fraudulent -KYB case	AML Compliance Officer / Fraud & Identity Team	Immediate (within 24-48 hours)	Critical
13	M3070	Disclosed UBO ownership percentages sum to 102.81%	Obtain corrected, notarized ownership schedule; investigate	KYB Onboarding Team	10 business days	High

#	Merchant	Finding	Remediation Action	Owner	Deadline	Priority
14	M3070	(exceeds 100%) UBO Chris Anderson (Russia) holds 46.15% — approaching the 50% OFAC control threshold; aggregate merchant OFAC match score 0.25 (elevated, near 0.3 review threshold)	root cause (data entry error vs. concealment) Conduct independent sanctions re-screening on all UBOs against OFAC SDN/sectoral lists; monitor for any increase in RU-owner stake toward 50%	Sanctions & OFAC Screening Team	5 business days	High
15	M3070	last_kyb_refresh (2025-09-01) predates onboarding_date (2025-10-19)	Correct KYB records; re-run refresh dated after onboarding	KYB Onboarding Team	10 business days	Medium
16	M3070	Aggregate red flags (minor UBOs, unregistered MSB, ownership arithmetic error, RU-nexus)	Prepare and file SAR documenting identity/UBO inconsistencies and unregistered	MLRO	Within 30 days of detection (per BSA SAR filing timeline)	Critical

#	Merchant	Finding	Remediation Action	Owner	Deadline	Priority
		ownership) support SAR filing	ed MSB activity			

6. Overall Recommendation

- M3070: Suspend processing immediately; escalate to MLRO for SAR preparation; freeze pending independent re-verification of all UBO identities.
- M3020: Suspend new/incremental processing pending proof of MSB registration; escalate to Legal/Compliance if registration cannot be evidenced within the cure period.
- M3025: No suspension warranted; obtain the Travel Rule attestation from RemitFast and add it to the KYB renewal cycle as a high-priority program item.
- M3004: No suspension warranted; complete standard EDD remediation items (ownership completeness, KYB timestamp correction) within normal cadence.

This report and its findings are based solely on the data present in AMLFT_Analyst_JIM (1).xlsx as of the KYB refresh dates on file, and should be read alongside the merchant case files and any prior SAR history before final filing decisions are made.